THE SUPPLY AND USE TABLE OF THE MALDIVES - 2003

The Department of National Planning has been working continuously to improve the national accounts statistics of the country. One of its major outputs is The Supply and Use Table 2003 of the Maldives (annex 1). This is the second SUT that has been compiled. The first SUT had been compiled and published for the year 1997. A separate documentation of the SUT 2003 will also be published.

The Supply and Use Table is a statistical tool that describes the linkages in the economy. It tries to answer questions on:

- Where goods and services are coming from and going to;
- Who are involved in the transactions; and
  Show the value added generated by each industry and how it's benefits; in terms of wages and salaries, net taxes, interest and profits are distributed

The framework has two main tables: the supply table and the use table, which are closely linked together.

The **Supply Table** (annex 1.1) identifies where the goods and services are coming from and their values:

- Local production and
- Imports

The **Use Table** (annex 1.2) presents how the total goods and services supplied in the economy are used. That is, whether they are used as:

- Intermediate usage in production;
- Final consumption of households and government;
- Fixed Capital formation and inventory changes and
- Exports

Important uses of the Supply and Use Table include:

- Providing a comprehensive basis for the national accounts. SUT can be used to derive GDP by three main approaches: income approach, production approach and expenditure approach.
- To provide a basis for short-term indicators
- Provide detailed, consistent data for econometric models
- To meet other demands from users such as researchers, international organisations, businesses, etc

The main data sources for SUT 2003 are:

- The Small Establishment Survey (SES) 2002/2003
- The Large Establishment Survey (LES) 2003
- Financial Reports of 2003 for Public and Private Companies
- Household Income and Expenditure Survey (HIES) 2003
- Vulnerability and Poverty Assessment survey (VPA) 2004
- Sea and Land Transport Survey 2001 (an Ad hoc survey conducted in 2001)
- Government budget information
- Import/ Export Statistics

In the Supply and Use table framework the supply of every product must be equal to the use of that product when measured in the same price, and the output of an industry must be equal to its cost of production. The United Nations System of National Accounts (SNA 1993) has been followed in the compilation of the Supply and Use Table 2003.

The GDP estimates are at present prepared in constant prices by industry, using the production approach. The base year for the existing GDP series is 1995. Supply and Use table 2003 will be used to rebase GDP series to 2003.

The SUT 2003 gives a fair description of the economic structure prevailing in the Maldives. The tables below illustrate GDP calculated by production approach and expenditure approach.

Table 1: GDP by Expenditure Approach – SUT 2003 & 1997

Description	Value	Share	Value	Share
	2003		1997	
	(In Rf million)	(%)	(In Rf million)	(%)
Household consumption	4,848	36	3,823	50
Government consumption	2,347	18	1,002	13
Gross fixed capital formation	3,456	26	2,360	31
Changes in Inventories	(116)	(1)	19	0.2
Export of goods	1,880	14	1,336	18
Export of services	7,855	59	4,330	57
Import of goods	6,247	47	4,240	56
Import of services	659	5	1,051	14
Total GDP by expenditure approach	**13,364**	**100**	**7,580**	**100**
	2003		1997	
Mid-year population of Maldivians	285,066		255,460	
Mid-year expatriate population	31,936		16,744	
Mid year total population	317,002		272,204	
GDP per capita in Rf	42,157		27,847	
GDP per capita in nominal terms - US$ (Rf.12.80/US$)	3,294		2,376	
GDP per capita in 2005 PPP's- US$ (Rf.8.10/US$)	5,205		3,438	
Household expenditure per head in Rf	15,293		14,045	
Government consumption per head in Rf	7,404		3,681	
Total Consumption per head in Rf	22,697		17,726	

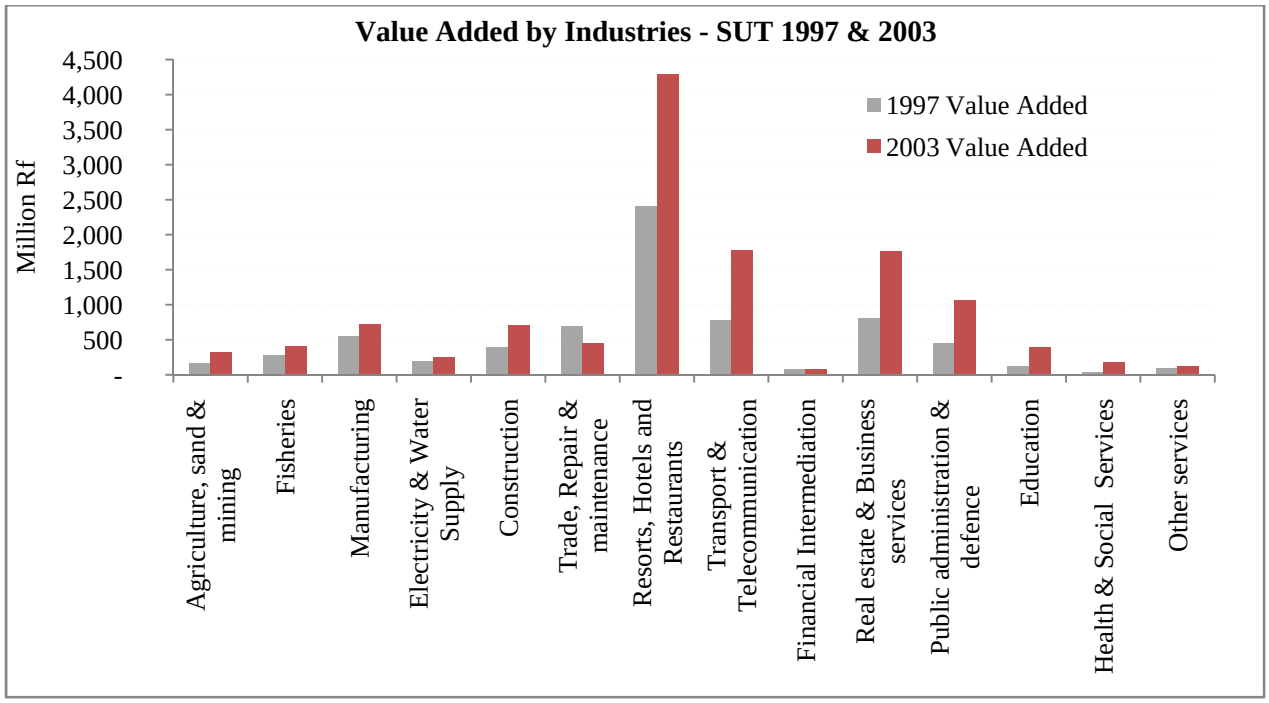
Table 2: GDP by Income Approach – SUT 2003 & 1997

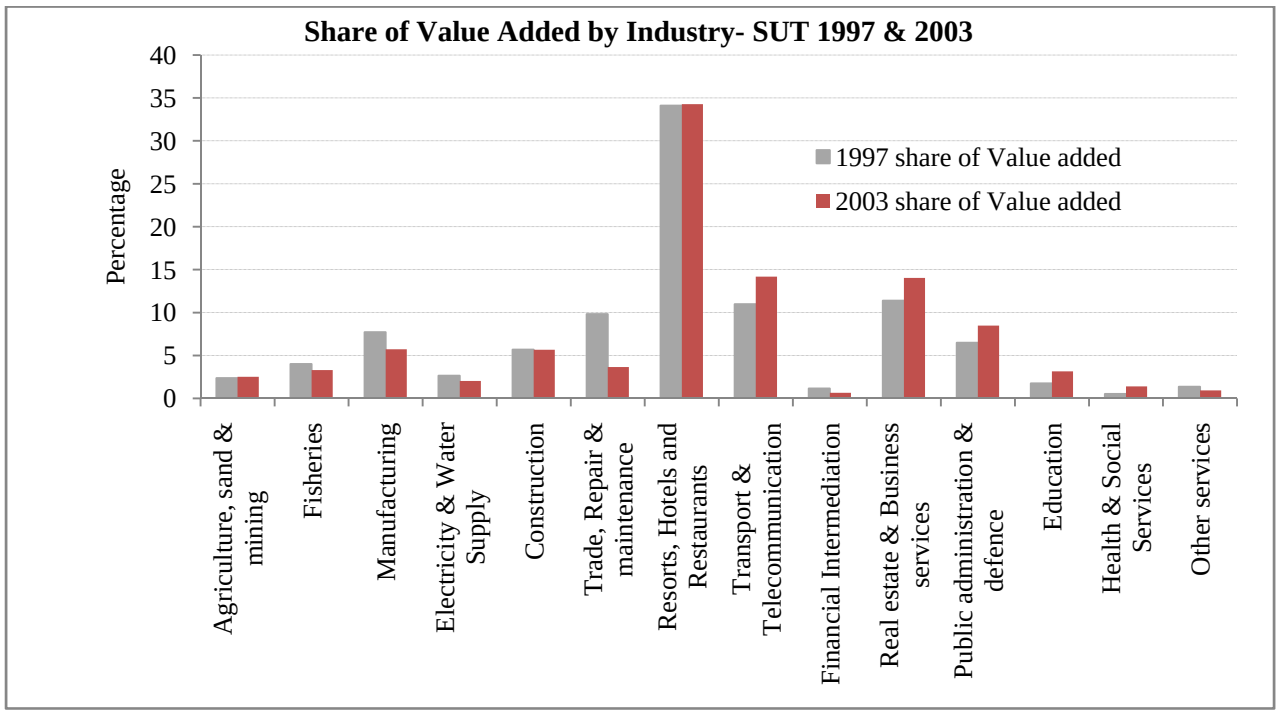
Description	Value	Share	Value	Share
	2003		1997	
	(In Rf million)	(%)	(In Rf million)	(%)
Taxes	759	6	280	4
Less Subsidies	(1)	(0.01)	-	-
Consumption of Fixed Capital	1,832	14	843	11
Compensation of Employees	3,725	28	1,963	26
Operating Surplus	6,207	46	3,944	52
Import Duties	841	6	549	7
Gross Domestic Product	**13,364**	**100**	**7,580**	**100**

Table 3: GDP by Production Approach – SUT 2003 & 1997

Industries	Value	Share	Value	Share
	2003		1997	
	(In Rf million)	(%)	(In Rf million)	(%)
Agriculture, sand & mining	314	3	167	2
Fisheries	413	3	282	4
Manufacturing	717	6	543	8
Electricity & Water Supply	254	2	186	3
Construction	710	6	399	6
Trade, Repair & maintenance	457	4	691	10
Resorts, Hotels and Restaurants	4,293	34	2,398	34
Transport & Telecommunication	1,776	14	771	11
Financial Intermediation	82	1	81	1
Real estate & Business services	1,757	14	801	11
Public administration & defense	1,061	8	456	6
Education	396	3	123	2
Health & Social Services	176	1	37	1
Other services	117	1	96	1
Gross Value Added	**12,523**	**100**	**7,031**	**100**
Import duties	841		549	
Gross Domestic Product	**13,364**		**7,580**	

The Graphs below shows the value added of different industries and the shares of industries that were derived from SUT 1997 and 2003.





DEFINITIONS

GDP by Expenditure Approach - total final expenditures at purchasers' prices (including the f.o.b. value of exports of goods and services), less the f.o.b. value of imports of goods and services.

GDP by income approach - compensation of employees, plus taxes less subsidies on production and imports, plus gross mixed income, plus gross operating surplus.

GDP by Production approach - is the sum of the gross values added of all resident producers at basic prices, plus all taxes less subsidies on products

The operating surplus - measures the surplus or deficit accruing from production before taking account of any interest, rent or similar charges payable on financial or tangible non-produced assets borrowed or rented by the enterprise, or any interest, rent or similar receipts receivable on financial or tangible non-produced assets owned by the enterprise.

Gross capital formation - is measured by the total value of the gross fixed capital formation, changes in inventories and acquisitions less disposals of valuables for a unit or sector

Household final consumption expenditure- consists of the expenditure, including imputed expenditure, incurred by resident households on individual consumption goods and services, including those sold at prices that are not economically significant.

Government final consumption expenditure- consists of expenditure, including imputed expenditure, incurred by general government on both individual consumption goods and services and collective consumption services.

Consumption of fixed capital -represents the reduction in the value of the fixed assets used in production during the accounting period resulting from physical deterioration, normal obsolescence or normal accidental damage.

Basic price - the amount receivable by the producer from the purchaser for a unit of a good or service produced as output minus any tax payable, and plus any subsidy receivable, on that unit as a consequence of its production or sale; it excludes any transport charges invoiced separately by the producer.

Producer's price- the amount receivable by the producer from the purchaser for a unit of a good or service produced as output minus any VAT, or similar deductible tax, invoiced to the purchaser; it excludes any transport charges invoiced separately by the producer.

Purchaser's price - is the amount paid by the purchaser, excluding any deductible VAT or similar deductible tax, in order to take delivery of a unit of a good or service at the time and place required by the purchaser; the purchaser's price of a good includes any transport charges paid separately by the purchaser to take delivery at the required time and place.

Source: UN SNA 1993